

2000-2009

The DECADE that changed the world Age of Information

TECHING THE World by Storm

A Made in India success story with global impact, the IT revolution has put us right up there with the best

By T.V. Mohandas Pai |

The rise of the Indian IT sector over the past 18 years has been one of the defining achievements of the post-liberalisation era. A child of India's economic reforms, the IT industry has helped fuel historic growth rates, boosted currency reserves to meet the national trade deficit, created over two million direct jobs, and raised the aspirations of millions of Indians. Its success has placed India on the map as a destination of choice for multinational corporations and has established India's reputation as a centre for producing high quality, cost-effective technology solutions for business.

Much has been written about the success of the IT industry, but the following factors have been somewhat ignored.

● **High quality leadership** The Indian IT industry was blessed from the beginning with a generation of great leaders. Members of the educated middle-class, first generation entrepreneurs and highly accomplished professionals with a global outlook, they changed the face of corporate India. Ambitious and driven, they viewed the world as their market. They believed in the values of integrity, transparency, and openness, and created a collegial work culture based on merit. For the first time, Indian business leaders became role models.

● **Quality middle management** While the leadership shaped the new industry, daily operations were managed by highly motivated, qualified, efficient people who understood the importance of flawless execution. Well-educated, highly-networked, tech-savvy and capable of addressing global markets, they were equally at ease in New York, London and

A BLUFFER'S GUIDE

- The Indian BPO sector is a \$14.76-billion industry, employing over one million people across 25 countries, accounting for about 40 per cent of the global BPO offshore market.
- In 2008, India earned \$31 billion from IT services, while the revenue from the BPO sector was \$12.5 billion. Overall, the IT industry earned \$64 billion.
- The yet-to-be launched Boeing 787's avionic software has been developed by HCL Comnet while TCS and Mahindra Satyam are helping the European Aeronautic Defence and Space Company, the consortium that owns Airbus.



REVENUES GENERATED BY THE BPO INDUSTRY ARE \$14.7 BILLION IN 2009, UP FROM \$16 BILLION IN 2002

Bangalore. They tackled complicated projects, focused on constant innovation, inspired their teams, and always met their deadlines. They remain widely respected for project execution to this day.

● **International standards** From the beginning, the IT industry adopted international quality standards to gain an edge in execution. Beginning with ISO 9001, and then progressing to SEI Capability Maturity Model, they soon became winners in the global quality certification race. Indian IT adopted the best international standards to prove that Indian firms could produce high quality products, and their reputation for excellence endures to this day.

● **Government support and the STPI scheme** Amidst the flurry of new regulations in 1991, one initiative, the Software Technology Parks of India (STPI) Scheme, stands out. Hundred per cent export-oriented, income tax-free, entrepreneurial in nature, and light on bureaucratic interference, it is perhaps the best scheme ever undertaken by the government. The STPI scheme enabled any business, anywhere in India, to establish an STP unit and then import hardware and software duty-free. Later offerings by the STPI such as Soft Point enabled the development of several key aspects of the